

UNIT 14

ETHICS AND CORPORATE CULTURE

A. Definition of Corporate Ethics

Corporate internal ethics refers to a set of values, norms, and behavioral guidelines implemented within a company to guide the actions and decisions of employees. Internal ethics encompass the rules and moral values that shape the company's internal culture. They include how the company interacts with employees, business partners, and other internal stakeholders. In this context, internal ethics are crucial for creating a fair, transparent, and integrity-driven work environment. These rules cover various aspects, such as corporate social responsibility, fair treatment of employees, and integrity in business practices.

According to Sahadi, Taufiq, Farida (2021), and Kreitner and Kinicki (2012), ethics are closely related to moral choices and issues involving concepts of right versus wrong and good versus bad, which are major concerns in society and the workplace. Ethics have a significant impact in various contexts, both social and professional. Ethics serve as a moral standard or measure that regulates individual behavior considered right or wrong. A person's actions in interacting with their environment reflect their adherence to societal norms. According to Colquitt, Lepine, and Wesson (2022), ethics reflect the extent to which an authority's behavior aligns with generally accepted moral norms. Therefore, individuals are responsible for their social behavior in their social environment, based on moral values. Control over morals is manifested in every individual's behavior and attitude within their social environment. In the workplace

context, there is a multidimensional work ethic theory developed by Miller, Woehr, & Hudspeth (2002), known as The Multidimensional Work Ethic Profile (MWEP). MWEP consists of seven dimensions of work ethic, including job orientation, waiting for rewards, hard work, leisure, morality/ethics, independence, and time wasting.

In summary, based on expert opinions, work ethics are a measure or standard related to moral values. Work ethics are based on trust, responsibility, and integrity, which are integral parts of the societal value system.

Table 14.1 The Multidimensional Work Ethic Profile (MWEP)

Dimension	Definition	Sample Items
Centrality of work	Belief in work for work's sake and the importance of work.	I experience a sense of fulfillment from working. A hard day's work provides a sense of accomplishment.
Self-reliance	Striving for independence in one's daily work.	I strive to be self-reliant. Self-reliance is the key to being successful.
Hard work	Belief in the virtues of hard work.	If you work hard you will succeed. If one works hard enough, one is likely to make a good life for oneself.
Leisure	Pro-leisure attitudes and beliefs in the importance of non-work activities.	People should have more leisure time to spend in relaxation. More leisure time is good for people.
Morality/ethics	Believing in a just and moral existence.	People should be fair in their dealings with others. One should always take responsibility for one's actions.
Delay of gratification	Orientation toward the future; the postponement of rewards.	The best things in life are those you have to wait for. A distant reward is usually more satisfying than an immediate one.
Wasted time	Attitudes and beliefs reflecting active and productive use of time.	I try to plan out my workday so as not to waste time. Time should not be wasted, it

Source: Gorman and Meriac (2016) dalam Wardhana (2023)

Multinational companies establish internal policies regarding employee ethical behavior. These policies can take the form of general guidelines (corporate ethics statements) or be more detailed with specific behavioral requirements (corporate codes of ethics). As part of a comprehensive compliance and ethics program, these policies aim to set the company's expectations for employees and provide guidance on handling ethical issues that may arise in business. Internal code of ethics policies help employees enhance ethical awareness, ensure consistent application, and prevent ethical violations.



Figure 14.1 Work Ethics

Source: Miller, Woehr, & Hudspeth (2002) dalam Wardhana (2023)

According to Miller, Woehr, & Hudspeth (2002), work ethic encompasses seven elements: centrality of work, self-reliance, hard work, leisure, morality/ethics, delay of gratification, and wasted time. When an employee embodies

these seven elements, a positive work ethic is reflected. Here is a brief explanation of each element:

1. **Centrality of Work.** Belief and focus on work. Employees with a high focus on work consider it an integral part of their lives, positively impacting themselves and the organization.
2. **Self-Reliance.** The ability to independently complete daily tasks without relying on others.
3. **Hard Work.** Belief that commitment to values and hard work can lead to improvement and achieving desired goals.
4. **Morality/Ethics.** Belief in fairness and morality, influencing an individual's behavior and character.
5. **Leisure.** A positive attitude towards using leisure time for activities outside of work.
6. **Wasted Time.** Attitudes and beliefs reflecting the use of time in an active, productive, and efficient manner.
7. **Delay of Gratification.** The ability to postpone short-term satisfaction for greater rewards in the future, demonstrating a focus on future-oriented goals and well-being.

B. Forms of Corporate Ethics

Forms of corporate ethics can be outlined as follows:

1. **Respect and Support Internationally Recognized Human Rights in Your Area of Influence.** Respect and support for internationally recognized human rights within the company or organization's area of influence are crucial. **This includes the obligation to understand, protect, and promote human rights according to globally recognized standards.** This principle encourages organizations to act responsibly and helps prevent human rights violations within their business context.

For example, Zurich Insurance Group emphasizes its commitment to respecting human rights within its area of influence and strives to avoid involvement in human rights violations. Unilever integrates respect for internationally recognized human rights throughout its entire supply chain,

in alignment with the UN Guiding Principles on Business and Human Rights.

2. **Ensure That Your Company Does Not Participate in Any Way in The Violation of Human Rights.** Ensuring that a company is not involved in human rights violations is a crucial commitment to advancing human rights values and ensuring ethical business practices. This involves active efforts to prevent the company from contributing to human rights violations across various contexts.

For example, Amazon Global Human Rights Principles: Amazon upholds global human rights principles that affirm their support for fundamental human rights and worker dignity worldwide, with an emphasis on the responsibility to avoid human rights violations.

3. **Support Freedom of Association and Recognize Open Collective Bargaining.** Supporting freedom of association and recognizing the right to open collective bargaining are important steps in ensuring that workers' rights are respected and protected. This includes allowing workers to form and join trade unions and engage in collective bargaining with employers to establish working conditions.

For example, the International Labour Organization (ILO) emphasizes the right of workers and employers to form and join their own organizations as an integral part of a free and open society.

4. **Eliminate All Forms of Forced Compulsory Labour.** The principle of eliminating all forms of forced or compulsory labor is a commitment to preventing and ending forced labor in all its forms. This includes efforts to **eradicate slavery, human trafficking, and coercive working conditions.** For example, the International Labour Organization (ILO) Convention No. 29 establishes that forced labor practices must be abolished effectively and promptly.

An example is the elimination of forced labor systems in agriculture or industries that coerce workers to work under threats or unfair economic pressure.

Erradicate All Forms of Child Labour in Your Productive Chain. This commitment involves preventing and stopping the use of child labor at all stages of production. Measures include strict monitoring, clear policies, and active engagement to ensure that no children are involved in work that violates their rights.

Example: Nespresso's Zero Tolerance Policy explicitly states that they do not tolerate child labor. They have a zero-tolerance policy for child labor in their supply chain and are committed to taking immediate action if claims arise that their standards are not being met.

5. **Stimulate All Practices That Eliminate Any Forms of Discrimination at The Workplace.** Encouraging all practices that eliminate any form of discrimination in the workplace involves proactive initiatives to create an inclusive and fair environment for all employees.

Example: Developing clear and strict policies against workplace discrimination. Companies can create guidelines that support diversity and prohibit all forms of discrimination based on factors such as gender, race, religion, or sexual orientation.

6. **Assume A Responsible, Preventive, and Proactive Posture Towards Environmental Changes.** Taking a responsible, preventive, and proactive approach to environmental changes involves measures that are attentive to environmental impact, preventing problems early, and preparing for potential changes. Companies manage waste responsibly, ensuring that waste produced does not harm the environment, perform preventive maintenance on facilities and equipment to avoid pollution or environmental damage, and implement policies to prevent air, water, or soil pollution.

They also develop and support environmentally friendly initiatives such as tree planting programs or the use of renewable energy, conduct research to understand potential future environmental impacts, and design proactive strategies to address these challenges.

Example: Tesla Motors proactively develops and produces electric vehicles to reduce greenhouse gas emissions from the transportation sector, and Walt Disney Company has the Disney Conservation Fund program, which actively supports environmental conservation and wildlife protection

7. **Develop Initiatives and Practices to Promote and Divulge Socioenvironmental Responsibility.** Developing initiatives and practices to encourage and disclose socio-environmental responsibility involves strategic steps to promote awareness and transparency regarding social and environmental responsibilities. Building internal education or training programs to increase employee understanding of environmental issues and how to reduce negative impacts, developing annual sustainability reports that reveal the company's achievements and commitments related to social and environmental responsibility, and actively participating in environmental events or campaigns to strengthen the company's image as a leader in socio-environmental responsibility.

Example: Unilever develops the "Sustainable Living Plan," which includes a commitment to reduce environmental impact and enhance positive impacts, and shares progress through annual reports.

8. **Promote The Development and Dissemination of Environmentally Responsible Technology.** Encouraging the development and dissemination of environmentally responsible technology involves efforts to promote the adoption of technologies that have a positive and sustainable

impact on the environment. Example: Providing funding and support for research and innovation in the development of environmentally friendly technologies, such as renewable energy, recycling technology, and waste management, organizing education and training programs to increase understanding among the public and stakeholders regarding technologies that contribute to environmental sustainability, and forming partnerships with industries to accelerate the adoption of environmentally friendly technologies on a larger scale.

Example: Tesla is an example of a company that promotes the development of environmentally friendly technology. Through innovations in electric vehicles, energy storage batteries, and renewable energy solutions, Tesla contributes to reducing carbon emissions in the transportation and energy sectors.

9. **Fight Corruption of All Its Forms Including Extortion and Bribery.** Corruption in all its forms, including extortion and bribery, is a global challenge requiring collective resistance. Extortion involves forcing someone to give something through threats or violence, while bribery involves giving, offering, or receiving undue benefits to influence someone in a policy-making position.

Example: UN Global Compact Principle 10 mandates businesses to combat corruption in all its forms, including extortion and bribery. Companies like Shell adopt anti-corruption policies to comply with this principle.

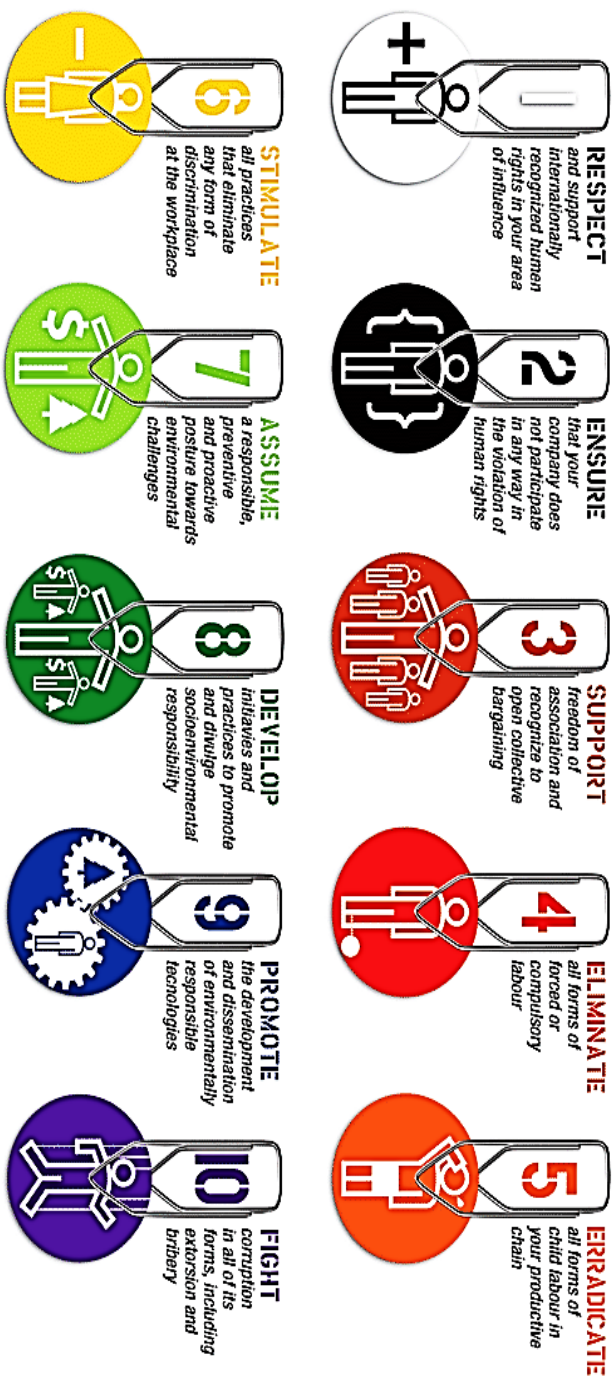


Figure 14.2 Corporat Internal Ethics

Source: Wardhana (2023)

Ethics is a field of study that examines the moral principles guiding human behavior and interactions. When applied to the environment, ethics becomes the study of moral questions arising from the relationship between humans and nature or non-human entities. Environmental ethics explores how humans should act towards the environment, whether the environment has intrinsic value, and whether humans have a moral responsibility to preserve and protect the environment for future generations (Rolston III, 2020; Palmer, McShane, & Sandler, 2014; Thompson, 2012). Environmental ethics also evaluates the effects of human activities on the environment, such as those caused by industrial, agricultural, and transportation sectors. It aims to find a balance between human needs and environmental preservation by identifying the best ways to meet those needs without damaging nature (Rolston III, 2020; Sandler, 2017). The importance of environmental ethics is also reflected in its consideration of the relationship between humans, non-human life forms, and ecosystems as a whole. Environmental ethics seeks to view living beings with respect, while considering ecosystem balance as an integral part of overall ethical human action (Rolston III, 2020).

The close relationship between ethics and the environment arises because ethics involves human actions in considering moral values and goodness, while the environment relates to nature and all its contents, including humans and the impact of their actions on the environment (Boylan, 2022; Attfield, 2019). In the environmental context, ethics demands that humans be responsible for maintaining environmental sustainability and respecting the rights of all living beings, including flora and fauna, to live and thrive. Ethics also encourages humans to avoid harmful actions such as pollution, uncontrolled deforestation, or habitat destruction (Thompson, 2012; McShane, 2009). Ethics also considers the interests of future generations in the use of natural resources, where ethical actions aim to ensure the availability of natural resources for future generations (Boylan, 2022; Bassham, 2020).

Environmental ethics, as the study of ethical questions concerning the relationship between humans and non-human environments, emerged as a crucial sub-field of philosophy in the 1970s (Thompson, 2012; McShane, 2009; Gunn, 2009). Today, environmental ethics is experiencing rapid growth as a research area. Ethical questions explore what should be done, with ethical claims being prescriptive in nature, determining what we should do, rather than descriptive or predictive. For example, humans should reduce the ecological impact of their lifestyles, which demonstrates a prescriptive claim. This article presents various viewpoints on whether environmental ethics should focus on creating the best consequences while respecting environmental virtue principles, or on exploring the ethical difficulties arising from human-induced climate change (Rolston III, 2020; Broome, 2012; Thompson, 2012).

Understanding ethics and the environment provides several valuable benefits (Lee & Hales, 2022; Wardhana et al., 2021; Rolston III, 2020; Palmer, McShane, & Sandler, 2014):

1. Understanding moral obligations to the environment and living beings encourages more responsible and sustainable actions.
2. Developing awareness of the impact of actions on the environment aids in making wiser decisions in daily life.
3. Helps in understanding the complex relationship between humans and the environment, strengthening the connection and solidarity with nature.
4. Fosters critical and ethical thinking that can be applied to environmental issues, such as climate change, biodiversity, and environmental policies.
5. Supports the development of more sustainable and environmentally friendly technologies and practices (Rolston III, 2020).
6. Provides guidance for businesses, governments, and communities in creating more sustainable and environmentally responsible policies and practices (Vaz, 2022).

7. Raises public awareness about environmental issues, encouraging individual and collective behavior changes to support conservation and environmental sustainability (Sandler, 2017).

C. Models of Ethics and the Environment

Several models of ethics and the environment can be used as guides to understand the relationship between ethics and the environment, including:

1. **Anthropocentric.** This model places humans at the center, attributing ethical value only to humans. In the environmental context, this view tends to overlook the rights and values of the environment, seeing it merely as a source of human needs. This can be observed in practices of exploiting natural resources without considering long-term impacts (Sandler, 2017; Palmer, McShane, & Sandler, 2014; Hourdequin, 2015). Examples: Unilever is an example of a company that applies an anthropocentric ethical model in some aspect. The company focuses on developing products and strategies that prioritize human needs, such as consumer health and comfort. Although Unilever also makes efforts towards environmental sustainability, their primary approach often centers on direct benefits to humans, such as through safer and higher-quality products. Another example is Nestlé, one of the largest food and beverage companies in the world, which demonstrates an anthropocentric approach by prioritizing consumer needs in their product development. Nestlé strives to meet human needs with a focus on nutrition, taste, and product innovation, while managing production and distribution to achieve efficiency that benefits consumers.
2. **Biocentric.** This model attributes ethical value to all life, including humans, recognizing the rights to existence and life for all beings and the environment, and considering the sustainability of the relationship between humans and the environment (Sandler, 2017; Hourdequin, 2015). Examples:

Patagonia is a prime example of a company that applies a biocentric ethical model. The company places the environment at the center of all their business decisions. Patagonia is not only committed to using environmentally friendly materials in their products but also actively engages in conservation and environmental protection efforts. They support various environmental initiatives, such as donating 1% of sales to environmental projects and using recycled materials. Another example is Interface Inc., a carpet and flooring manufacturer, which also adopts biocentric ethics. They have an initiative called Climate Take Back, aimed at eliminating their carbon footprint and even helping to absorb CO₂ from the atmosphere. Interface focuses on product innovation that reduces environmental impact and is committed to achieving full sustainability.

3. **Ecocentric.** This model emphasizes the entire ecological system and assigns ethical value to the environment. Humans are viewed as part of the environment, with a moral obligation to maintain the sustainability of ecosystems (Sandler, 2017; Hourdequin, 2015). Examples: Unilever is an example of a company that applies an ecocentric ethical model. The company is committed to environmental sustainability through various initiatives such as reducing carbon footprint, minimizing waste, and using environmentally friendly materials in their products. Programs like Unilever's Sustainable Living Plan focus on enhancing positive impacts on both the environment and society. Another example is Interface Inc., a carpet and flooring manufacturer, which also adopts ecocentric ethics. The company has a mission to achieve Zero Impact with a focus on sustainability. They implement practices such as using recycled materials and product innovations that reduce environmental impact.
4. **Environmental Theology.** This model integrates ethical values from a religious perspective with environmental sustainability. It teaches the importance of preserving nature

as a form of worship and the responsibility of humanity as stewards of the Earth (Bassham, 2020; Sandler, 2017; Hourdequin, 2015). For example, PT Pertamina, the largest energy company in Indonesia, applies the environmental theology ethical model through the Triple Bottom Line (TBL) approach. TBL is a concept that integrates social, economic, and environmental responsibilities into every aspect of the company's operations. Pertamina develops programs aligned with sustainability and environmental responsibility principles, striving to minimize the environmental impact of its activities while ensuring social and economic benefits. Another example, Kampung Naga, although not a company, is an example of the application of environmental theology ethics within an indigenous community. This village practices environmental ethics principles in their daily life, respecting and maintaining the preservation of nature as part of their religious beliefs.

5. **Environmental Feminism.** This model emphasizes gender perspectives in understanding the relationship between humans and the environment. It advocates for gender equality in environmental decision-making and acknowledges the environmental impacts on women (Bassham, 2020; Rolston III, 2020; Attfield, 2019; Sandler, 2017; Hourdequin, 2015; Palmer, McShane, and Sandler, 2014). For example, Patagonia, an American outdoor clothing company, exemplifies a company applying environmental feminism ethics. Patagonia is committed to environmental sustainability while also promoting gender equality. Patagonia adopts ecofeminist principles by supporting environmental initiatives and empowering women through various programs. For instance, Patagonia supports organizations working on environmental and gender equality issues and implements internal policies that support work-life balance and women's empowerment in the workplace. Another example is The Body Shop, a British cosmetics company, which also applies environmental

feminism principles. The Body Shop focuses on sustainable and ethical business practices and supports women's rights through various initiatives. The Body Shop is committed to using ethically sourced natural ingredients and combating the exploitation of women and environmental damage. The company is involved in global campaigns to protect women's rights and reduce environmental impact.

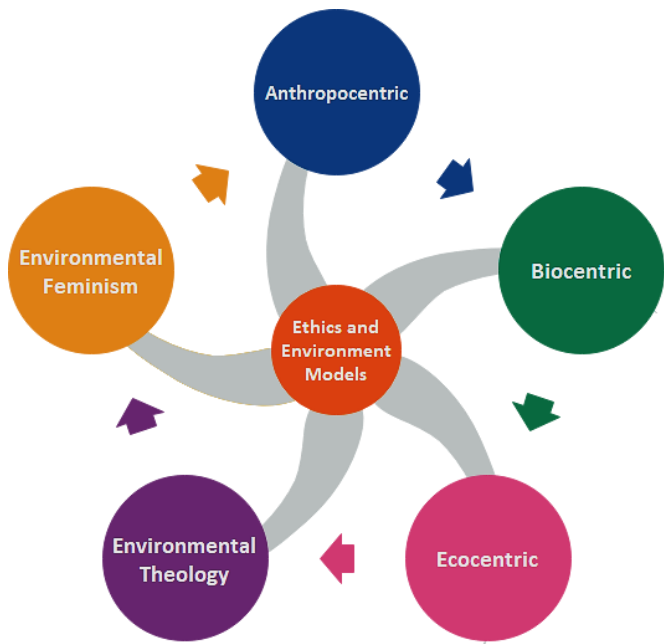


Figure 14.3 Ethics and Environment Models
Source: Wardhana (2023)

D. Impact of Ethical and Environmental Relationships

The positive impact of the relationship between ethics and the environment includes increased environmental awareness in society, such as:

- 1. Understanding environmental ethics encourages actions that reduce negative impacts on the environment.** Some examples of heightened environmental awareness include (Wardhana et al., 2021; Rolston III, 2020; US Environmental Protection Agency (EPA), 2013):

- a. Using environmentally friendly vehicles such as bicycles or electric cars to reduce greenhouse gas emissions (Caney, 2012).
- b. Reducing the use of single-use plastic materials, such as plastic straws, by switching to recyclable materials (Attfield, 2019).
- c. Properly disposing of waste, separating organic and non-organic waste, and practicing recycling to reduce waste (Palmer, McShane, and Sandler, 2014).
- d. Saving water through simple actions, such as fixing leaking faucets and using low-flow toilets (Schmidt and Shahar, 2018).
- e. Choosing environmentally friendly products, such as those made from natural materials or with environmental certification labels (Sandler, 2017).
- f. Planting vegetation around homes or offices to improve air quality and provide habitats for wildlife (Rolston III, 2020).
- g. Maintaining indoor air quality by ensuring proper ventilation and selecting safe, non-hazardous building materials (Rolston III, 2020).
- h. Reducing energy use by turning off unused electrical appliances, choosing energy-efficient appliances, and using renewable energy sources like solar panels or wind turbines (Rolston III, 2020).
- i. Avoiding foods and products containing harmful chemicals or pesticides, and opting for organic or locally sourced environmentally friendly foods (Bassham, 2020).
- j. Taking action to advocate for environmentally friendly public policies, such as supporting energy-saving programs or environmental conservation initiatives (Attfield, 2019).

2. Environmental ethics can encourage society to protect nature and reduce environmental damage. Some practical examples to enhance environmental conservation include

(Wardhana et al., 2021; US Environmental Protection Agency (EPA), 2013):

- a. Building awareness through campaigns, seminars, and environmental-related events (Palmer, McShane, and Sandler, 2014).
- b. Maintaining environmental cleanliness, cleaning up waste, and repairing environmental damage (Schmidtz and Shahar, 2018).
- c. Restoring environmental damage, rehabilitating degraded land, reforestation, and reducing the impact of waste (Sandler, 2017).
- d. Reducing fossil fuel use by switching to renewable energy sources like solar panels and wind turbines (Rolston III, 2020).
- e. Reducing the use of harmful chemicals such as pesticides (Rolston III, 2020).
- f. Creating policies for forest conservation, water management, and waste management (Palmer, McShane, and Sandler, 2014).
- g. Encouraging the use of environmentally friendly technology, such as electric vehicles (Rolston III, 2020).
- h. Building and strengthening environmental institutions and non-governmental organizations (Vaz, 2022).
- i. Supporting environmentally friendly products and reducing the use of harmful products (Attfield, 2019).
- j. Conducting research and developing environmentally friendly technologies to enhance sustainability (Bassham, 2020).

However, there are negative impacts from the relationship between ethics and the environment, as outlined by Wardhana et al. (2021) and Schmitz and Shahar (2018):

- 3. Lack of Action.** Even with an understanding of environmental ethics, without concrete action, environmental conservation efforts will remain stagnant. For example, companies that dispose of hazardous waste without

considering its impact on individuals who carelessly litter can cause unmanageable environmental damage, threatening health and the survival of other species (Bassham, 2020; Attfield, 2019; Schmidtz and Shahar, 2018).

- a. **Additional Costs.** Sustainable actions often require additional costs, such as the use of environmentally friendly technology or lifestyle changes, which can impose extra burdens on society, including environmental repair costs, legal costs, reputational costs, and social costs arising from pollution or environmental damage (Vaz, 2022; Rolston III, 2020; Attfield, 2019; Sandler, 2017).
- b. **Difficulty Balancing Interests.** Environmental interests do not always align with economic and social interests. For example, a highway construction project may boost economic growth but can also damage natural habitats, requiring mitigation and restoration to support nature conservation (Wardhana et al., 2021; Bassham, 2020).

E. Understanding Corporate Culture

Corporate culture encompasses the expectations, experiences, philosophy, and values that guide the behavior of its members, as reflected in their self-image, internal working methods, interactions with the outside world, and future expectations. The foundation of culture is a shared attitude, beliefs, customs, and both written and unwritten rules that develop over time. Culture also involves the company's vision, values, norms, systems, symbols, language, assumptions, beliefs, and habits.

Simply put, corporate culture is the way things are done within a company, representing a set of shared assumptions that guide behavior in various situations. Corporate culture influences interactions between individuals, groups, clients, and stakeholders. Additionally, corporate culture can affect how strongly employees identify with their company.

In contrast to the focus on constructing workplace culture, some definitions emphasize the behavioral components of employees and the direct impact of corporate culture on employee behavior within the company. Schein (2018) defines corporate culture as the fundamental pattern accepted by the company for action and problem-solving, shaping employees to adapt to the environment, and uniting employees within the company.

Based on the above description, it can be concluded that culture is the social order of a company that shapes attitudes and behaviors in a broad and enduring way. Cultural norms define what is encouraged, discouraged, accepted, or rejected within a group. When properly aligned with personal values, drives, and needs, culture can unleash a significant amount of energy toward shared goals and enhance the company's capacity to thrive. Culture can also evolve flexibly and autonomously in response to changing opportunities and demands.

F. The Importance of Corporate Culture

According to Kumar (2016) and Zhao, Teng, Wu (2018), corporate culture has a pervasive impact on all aspects of a business, from punctuality to contract terms and employee benefits. When the workplace culture aligns with the employees, they are more likely to feel comfortable, supported, and valued. Companies that prioritize culture are better equipped to handle challenges and changes in the business environment, thus becoming more resilient. The importance of corporate culture can be explained as follows:

1. Business values set the standard of behavior for all staff.
2. Culture determines how managers and employees interact with each other within the company.
3. A unique corporate culture can support the business brand image and relationships with customers.

4. Culture not only influences how decisions are made but also the types of strategic decisions that are taken.
5. Corporate culture is clearly linked to the economic performance and long-term success of a company.

G. Models of Corporate Culture

Hofstede, Pedersen, and Hofstede (2012) describe six dimensions of corporate culture that establish values within a company. Here is a summary of these six dimensions:

1. **Power Distance.** The power distance index measures the distribution of power in a society or company. A high distance indicates greater power concentration, with an authoritarian management style. A low distance reflects a balance of power, with democratic leadership.
2. **Individualism vs. Collectivism.** A company may have an individualistic culture, emphasizing personal goals, or a collectivistic culture, promoting teamwork and shared objectives.
3. **Uncertainty Avoidance.** Companies with high uncertainty avoidance tend to follow strict rules and guidelines, while those with low avoidance prefer to innovate and respond to changes.
4. **Masculinity vs. Femininity.** This index reflects ambition and competitiveness. A high score indicates significant gender differences, while a low score emphasizes gender balance and relationships.
5. **Short-Term vs. Long-Term Orientation.** Short-term orientation relies on tradition, while long-term orientation involves planning and analyzing the past.
6. **Indulgence vs. Restraint.** Companies with a high score on indulgence place high value on personal happiness and job satisfaction, whereas those with a low score are more structured, without a focus on well-being.

Handy (2005) proposed a corporate culture model consisting of four types of cultures, providing an understanding of why employees feel comfortable in a company. Here is a summary of the four types of corporate cultures:

1. **Power Culture.** Companies with a power culture implement autocratic leadership. Power is concentrated at the top of the hierarchy, with key decisions made by those at the top without allowing employees to have a say.

For example, PT. Bank Rakyat Indonesia (BRI) is known to implement autocratic leadership in certain aspects of its operations. In this company's structure, strategic and important decisions are generally made by the top management level without much input from lower-level employees. This reflects a power culture where authority and power are concentrated at the top of the company hierarchy. Another example is PT. Pancaran Logistik Indonesia, where an autocratic leadership style is also applied. Leadership in this company tends to be centralized, with key decisions made by top management without providing much room for employees to participate in the decision-making process. This reflects a system where power is concentrated at the top of the hierarchy.

2. **Task Culture.** Companies with a task culture emphasize achieving goals through teamwork. Employees are motivated to collaborate to achieve common and business objectives.

For example, Google is well-known for its work culture that strongly supports collaboration and teamwork. The company promotes a task culture where employees are encouraged to work together in cross-functional teams to achieve shared business goals. An innovative and open work environment, along with facilities that support collaboration, motivates employees to work synergistically. Another example is Salesforce, which also prioritizes task culture and team collaboration. With a focus on achieving common goals, Salesforce implements various programs that encourage

teamwork and communication across teams. This includes initiatives to align individual goals with the overall company goals, creating an environment that fosters results through teamwork. Additionally, Zappos, an online retailer, also demonstrates a strong task culture. The company prioritizes collaboration in achieving business goals, with an approach that emphasizes customer satisfaction and inter-team cooperation. Zappos employees are motivated to work together to complete tasks and face challenges, contributing to the overall success of the company.

3. **Role Culture.** Companies with a role culture assign tasks and authority based on employees' qualifications and experience. Employees are empowered to choose how to solve problems or complete tasks.

For example, IBM is known for its role culture, where tasks and responsibilities are clearly defined based on employees' roles and expertise. Each employee has specific duties and authority aligned with their qualifications and experience, allowing them to focus on their areas of specialization while following established procedures.

4. **Personal Culture.** Companies with a personal culture focus on the personal desires of employees rather than the company's goals. Employees are present only for the paycheck and to fulfill personal interests, without any expectation of improvement.

For example, some small-scale retail companies, particularly in the customer service sector, often exhibit a culture where employees are only there for the paycheck and are not engaged in the larger goals of the company. Employees in such environments may not feel motivated to contribute beyond just fulfilling their basic duties because there is no incentive for professional development or involvement in the company's vision. Another example is companies with high employee turnover often experience a

culture where employees do not feel connected to the company's goals. They may work only for the paycheck, without any long-term expectations or involvement in the company's improvement. This is common in industries with seasonal work or short-term contracts. Additionally, companies with weak or inconsistent leadership often face a culture where employees feel uninspired. In such cases, employees may show up just for the paycheck, with no expectations for improvement or development.

The comparison between Hofstede's and Handy's cultural models, as previously described, highlights two aspects related to culture in the workplace or a company. These two models have different objectives. Hofstede uses his model to understand a company's culture through the analysis of six sets of attributes. In this context, culture is measured as positive or negative based on scores in the six indices obtained by the company. On the other hand, Handy's model focuses on understanding **why an employee chooses to work for a particular business**. Unlike Hofstede, Handy does not assess culture in general but rather focuses on the specific type of culture that a company has at a given time.

H. Corporate Culture Styles

Groysberg, Lee, Price, Cheng (2018) identify eight corporate culture styles as described below.

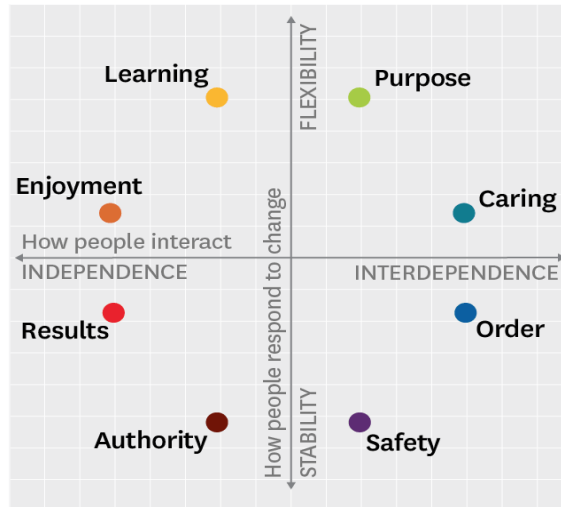


Figure 14.4 Leadership Guidelines Related to Corporate Culture

Source: Boris Groysberg, Jeremiah Lee, Jesse Price, Yo-Jud Cheng (2018) dalam Wardhana (2023)

1. **Caring.** Emphasizes relationships and mutual trust. The workplace becomes a warm, collaborative, and friendly environment where helping and supporting each other are the norms. Employees unite in loyalty; leaders emphasize sincerity, teamwork, and positive relationships.
2. **Purpose.** The workplace is a tolerant and caring environment where individuals strive to do good for the long-term future of the world. Focus on sustainability and global contribution brings employees together; leaders highlight shared ideals and contributions to a greater cause.
3. **Learning.** An innovative and open work atmosphere where new ideas are generated and alternatives are explored. Curiosity unites employees; leaders emphasize innovation, knowledge, and adventure.

4. **Enjoyment.** A relaxed work environment where happiness is the focus. Employee unity is formed through enjoyment and stimulation; leaders emphasize spontaneity and humor.
5. **Result.** An outcome-oriented and achievement-focused environment where individuals aspire to achieve the best performance. Employees unite in their drive for capability and success; leaders highlight goal achievement.
6. **Authority.** A competitive environment where individuals strive for personal gain. Employee unity occurs through strong control; leaders emphasize trust and dominance.
7. **Safety.** A predictable atmosphere where individuals are aware of risks and think carefully. Employees unite in their desire to feel protected and anticipate changes; leaders emphasize realism and forward planning.
8. **Order.** A methodical environment where rules are followed, and adaptation is desired. Employees unite in cooperation; leaders emphasize shared procedures and time-honored practices (Tsai, 2011).

Cameron and Quinn (2011) proposed four styles: Clan, Adhocracy, Hierarchy, and Market. Each company has its own specific combination.

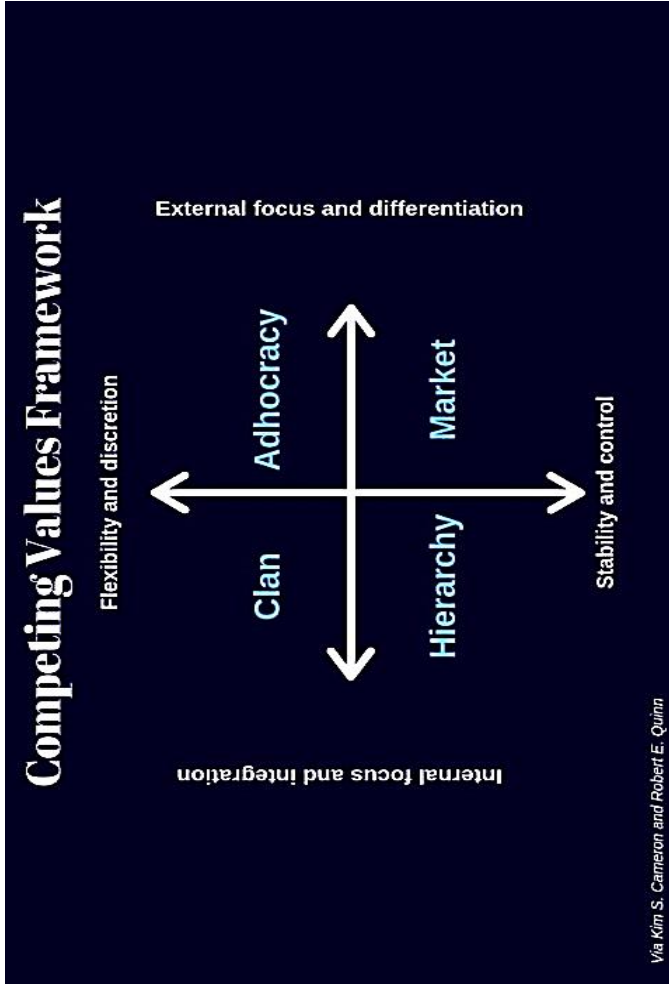


Figure 14.5 Gaya Budaya Perusahaan

Source: Cameron dan Quinn (2011) in Wardhana (2023)

1. **Clan.** Clan culture emphasizes a collaborative work environment where every individual is valued, and communication is a key focus.
2. **Adhocracy.** Adhocracy culture values individuality by encouraging employees to think creatively and contribute their ideas for market growth and company success.
3. **Market.** Market culture prioritizes profitability by emphasizing the importance of meeting quotas, targets, and achieving maximum results.
4. **Hierarchy.** Companies with a hierarchy culture follow a traditional structure with a focus on internal processes through a clear chain of command and several management levels separating employees from leadership.

I. Quality Corporate Culture

According to Bakhri, Daryono, and Suharnomo (2017), having an excellent corporate culture provides staff with a sense of ownership and security, making them feel like an integral part of the business. This contributes to improved teamwork and motivation. An effective corporate culture consistently reflects specific qualities that need to be developed, such as:

1. **Alignment.** Achieving alignment between company goals and employee motivation.
2. **Appreciation.** A culture that frequently offers recognition and thanks to team members.
3. **Trust.** Team members can express themselves and rely on support from peers when trying new things.
4. **Performance.** Employees motivate each other to excel, creating greater outcomes.
5. **Resilience.** A culture that teaches leaders to respond easily to changes in a dynamic environment.
6. **Teamwork.** Includes collaboration, communication, and respect among team members.
7. **Integrity.** Important in decision-making, interpreting results, and forming partnerships.

8. **Innovation.** Applying creative thinking to all aspects of the business, including cultural initiatives.
9. **Psychological Safety.** Providing support for employees to take risks and offer honest feedback.